

AML-CS-002

Investigation of Suspected Structuring (Smurfing) to Avoid Cash Transaction Reporting

Background

During routine transaction monitoring, the bank's AML monitoring system generated an alert after identifying a series of cash deposits made into the same customer account over a short period. Although each individual deposit was below the bank's internal reporting threshold, the overall pattern appeared unusual when the transactions were reviewed collectively.

The alert was assigned to an AML analyst for further investigation to determine whether the customer was intentionally structuring transactions to avoid regulatory reporting requirements.

Customer Profile

Field	Information
Customer ID	CUST-2048
Customer Name	Rohan Verma
Age	38
Occupation	Retail Business Owner
Customer type	Individual
Country	India
Risk Level	Medium
PEP Status	No
KYC Status	Completed
Due Diligence	CDD
Sources of Funds	Retail Business Income
Relationship with Bank	4 Years

Case Summary

Over a period of five consecutive business days, the customer deposited multiple cash amounts ranging from ₹8.8 lakh to ₹9.9 lakh. While each deposit remained below the bank's internal cash reporting threshold, the cumulative amount exceeded ₹47 lakh within a single week.

The pattern differed significantly from the customer's historical transaction behaviour, where cash deposits were generally infrequent and substantially lower in value.

Transaction Details

Date	Transaction Type	Amount	Channel
04-03-2026	Cash Deposit	9,20,000	Branch
05-03-2026	Cash Deposit	8,95,000	Branch
06-03-2026	Cash Deposit	9,75,000	Branch
09-03-2026	Cash Deposit	9,40,000	Branch
10-03-2026	Cash Deposit	9,60,000	Branch

Total Cash Deposited: ₹46,90,000

Reason for Investigation

The AML monitoring system detected repeated cash deposits made just below the bank's reporting threshold within a short timeframe. Such activity may indicate **structuring**, in which transactions are intentionally split into smaller amounts to reduce scrutiny or avoid reporting obligations.

Red Flags Identified

- Multiple cash deposits completed within a few business days.
- Individual deposits consistently close to the reporting threshold.
- Sudden increase in cash activity compared with the customer's historical transaction pattern.
- No documented business expansion or seasonal explanation.
- Transactions conducted through the same branch over consecutive days.
- Cumulative cash deposits significantly exceeded normal business activity

Total Cash Deposited: ₹46,90,000

Investigation Process

The assigned AML analyst reviewed the customer's transaction history for the previous twelve months to identify any unusual changes in transaction behaviour. Cash deposit patterns, account activity, customer profile, and KYC information were examined to determine whether the recent transactions aligned with the customer's expected financial activity.

The analyst also compared the deposits with the customer's declared source of funds and reviewed previous account reviews to identify any historical compliance concerns. Internal monitoring records confirmed that no similar transaction pattern had been observed before the current alert.

Documents Reviewed

- Customer KYC records
- Identity and address verification documents
- Customer profile information
- Business registration details
- Cash deposit transaction history
- Six-month account statement
- Source of funds declaration
- Previous compliance review records

Analyst Observations

The customer had maintained a satisfactory banking relationship for several years with no previous AML alerts. However, the recent pattern of multiple cash deposits just below the bank's reporting threshold appeared inconsistent with the customer's historical account activity.

Although the customer stated that the deposits represented increased business revenue, no supporting documentation, such as sales records or invoices, was provided during the initial review. The timing, frequency, and amounts of the deposits suggested a structured transaction pattern rather than routine business operations.

No international transfers, sanctions matches, or PEP indicators were identified during the investigation. However, the transaction behaviour warranted further review due to the unusual cash activity.

Investigation Findings

Based on the available information, the investigation identified several indicators consistent with potential structuring (smurfing).

While there was no direct evidence confirming money laundering, the transaction pattern demonstrated characteristics commonly associated with attempts to avoid regulatory reporting thresholds. The absence of supporting business documentation further increased the overall compliance risk.

The analyst concluded that the activity required enhanced monitoring and additional verification before normal account activity could continue.

Recommendation

The AML analyst recommended the following actions:

- Perform **Enhanced Due Diligence (EDD)** on the customer.
- Request supporting documents to verify the source of the deposited funds.
- Monitor future cash deposits for similar transaction patterns.
- Escalate the case to the Compliance Investigation Team for further assessment.
- Consider filing a Suspicious Activity Report (SAR/STR), if required under applicable regulatory requirements after completing the investigation.

Final Decision

The investigation concluded that the transaction activity presented a **Medium to High AML Risk** due to repeated cash deposits structured below reporting thresholds.

Although the available evidence was insufficient to establish confirmed money laundering, the transaction behaviour justified enhanced monitoring, additional document verification, and escalation for further compliance review.

Key Learning

This case study demonstrates how repeated transactions below reporting thresholds can collectively indicate suspicious activity, even when individual transactions appear normal. It highlights the importance of behavioural analysis, risk-based investigation, customer due diligence, and professional judgement in identifying potential structuring activities within an AML compliance framework.

Disclaimer

This case study is entirely fictional and has been created solely for educational and portfolio purposes. All customer information, transactions, organizations, and scenarios are imaginary and do not represent any real individual, business, or financial institution.